Technical Paper On Enterprise Value of Firm in Insolvency

BY: GAA ADVISORY LLP

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IBC came into effect from November - 2016. Since, then it has undergone lot of amendments. Crucial being introduction of fair value of assets apart from liquidation value. Number of amendment in short span doesn't mean that IBC is not upto mark, rather it is being made more robust to deliver maximum benefits to all stakes holder and live-upto its objective for which it came into existence.

IBC code currently in place is amalgamation of insolvency law prevalent in developed economies across geographies. It has been adopted after diligent and prudent thought. It is pertinent to mention that IBC understands the importance of businesses to survive for overall economic growth of the country and socio - economic impact on the region and surroundings. At the same time, it understands that it is perfectly normal for some of the businesses to fail in an economy. In case of a failure an economic - legal framework should be in place that guides businesses out of difficult times and re-organizes it to most suitable position in the current ecosystem. It is never an intent to liquidate businesses which most of the industry practitioners, professionals and media believed earlier.

The code gives power to committee of creditors (COC) to take decision which they believe is in best interests of everyone. However, to take a decision best suited for a particular instance, all facts and figures needs to be presented. Liquidation Value of Assets, Market Value of Assets and Enterprise Value of the business are very crucial for anyone to setup, acquire, merge or sale any business. So, is the understanding of all these "Values" for all the stake holders to collectively come to a unanimous decision for cases under IBC.

Before understanding on definitions is developed; It is important to understand what have banks / financial institutes funded? Whether "Asset" or "Enterprise". Banking system extends financial support in form of Debt; Debt is extended towards "Assets" after gaining broad knowledge about the business in which funded assets shall contribute to overall business activity. Thereby, meaning that banks are not interested in profits earned at company level, but only to an extent as far as interests is serviced and principal is paid back. However, when banks / financial institutes become part of COC and empowered to take decision on resolution plan; decisions are taken at enterprise level. Thus, it is important to understand businesses and its worth.

Let's understand what Liquidation Value, Market Value, and Enterprise Value is and how they differ from each other.

Liquidation Value: As per IVS 2017, Liquidation Value is the amount that would be realised when an *asset* or group of *assets* are sold on a piecemeal basis. Liquidation Value *should* take into account the costs of getting the *assets* into saleable condition as well as those of the disposal activity.

Market Value: As per IVS 2017, Market Value is the estimated amount for which a property should exchange on the date of valuation between a willing buyer and a willing seller in an arm’s length transaction after proper marketing wherein the parties had each acted knowledgeably, prudently, and without compulsion.

Enterprise Value:

To have an understanding of enterprise value, we need to step back and understand what an enterprise and its constituents is.

Enterprise: Enterprise describes the actions of someone who shows some initiative by taking a risk by setting up business. There are two most important words in the definition i.e. initiative and risk. A person who takes the initiative is someone who "makes things happen". He or she tends to be decisive. A business opportunity is identified and the person does something about it. All business investments carry an element of risk – which is the chance or probability that things will go wrong. At the worst, the risk of an enterprise might mean the person making the investment loses all his/her money or becomes personally liable for the debts of the business.

Enterprise Value

It is an economic measure reflecting the market value of a business. It is a sum of claims by all claimants: creditors (secured and unsecured) and shareholders (preferred and common). It is a useful metric for strategic and financial buyers because it provides a business valuation metric for companies of all different sizes and industries, which can then be compared and benchmarked. The most common way to calculate enterprise value is to apply a multiple to EBITDA.

EV = Market Capitalization + Market Value of Debt – Cash and Equivalents

Extended formula is

EV = Common Shares + Preferred Shares + Market Value of Debt + Minority Interest – Cash and Equivalents

Asset Valuation VS Enterprise Valuation

Asset Valuation

Asset valuation is the process of assessing the value of a real property or any other item of worth in particular assets that produce cash flows.

The asset based approach is defined in the International Glossary of Business Valuation Terms as "a general way of determining a value indication of a business, business ownership interest, or security using one or more methods based on the value of the assets net of liabilities." Any asset-based approach involves an analysis of the economic worth of a company's tangible and intangible, recorded and unrecorded assets in excess of its outstanding liabilities.

There are two methods of asset valuation as Book Value Method and Adjusted Net Asset Method. Further Adjusted Net Asset Method is divided into three parts as Replacement Cost Premise, Liquidation Premise and Going Concern Premise.

Factor covered in Enterprise Value but excluded in Asset Value

Different values for a business can exist because of different operating assumptions, deal structures, payment terms, etc. Some of the factor is described below:-

- **Future Performance** - Value of a business is dependent on its future performance as cash flow, revenue, Intangible Factors (as customer loyalty and concentration, contracts, trade secrets, reputation, mailing list, skilled employees, strong management team, strong distributors, name recognition, quality of financials, proprietary products).
  History of the business is relevant to the extent it helps project the expected future performance in the hands of a new buyer. Future performance of the business depends upon the current condition of the business and what new buyer can and/or wants to do with the business. Therefore, values of a business will change depending upon the buyer and his or her expectations.
- **Financial Leverage -** Value of a business is dependent on the post-acquisition financial leverage. Higher financial leverage, generally associated with high asset base, means lower average cost of capital and hence higher value. A business with low financial leverage (generally associated with a low asset base, or an asset base with low borrowing capacity, or a tight lending market) will command a lower price due to lack of lower cost borrowing. Such businesses can command a respectable price if a cash flow lender can be found, or if the seller is willing to finance the transaction. Financial leverage depends on the value of the assets, type of assets, size of the

business, market conditions, credit worthiness of the Buyer, quality of earnings, post-acquisition management, etc.

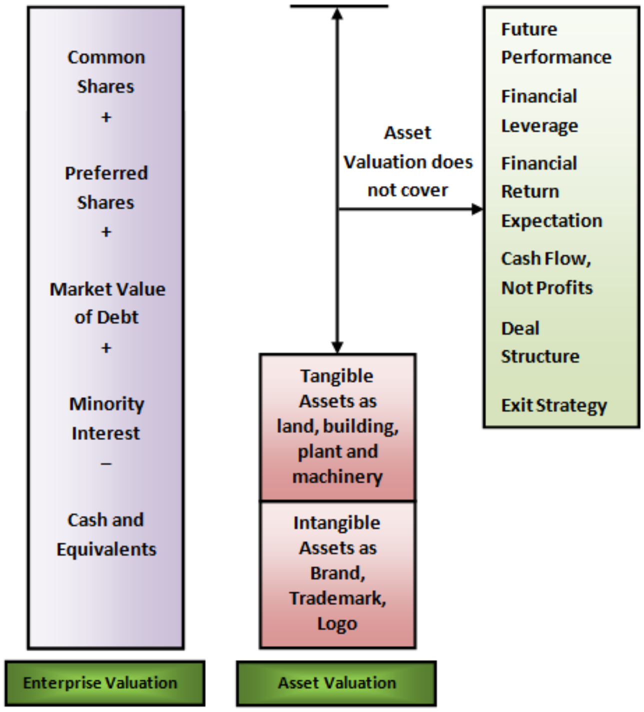
- **Financial Return Expectation -** Value of a business is dependent on the Buyer's expected financial return. The higher the Return On Investment (ROI) expectation of the Buyer, the lower the business value. Some of the factors increasing the Buyer's ROI expectation, and hence decreasing business value, are poor quality financials, up/down sales history, unpredictable and/or uncontrollable profit margins, lack of management, narrow product line or customer base, concentration of customers, suppliers, distribution channels, etc. ROI expectations also depend upon the type of assets; for example, ROI expectations of a real estate property are lower than that for a business property.

- **Cash Flow, Not Profits-** Value of a business is dependent on cash flow, not profits. A business whose fixed assets base is high and/or requires high working capital is likely to require more of the profits to be reinvested back in the business, thus reducing the cash available for debt service. Hence, it would be valued lower. The opposite is true for a business with a low fixed assets base and/or with low working capital requirements; such businesses will be valued higher due to low reinvestment needs.

- **Deal Structure-** Value of a business is dependent on the deal structure as Seller Financing, Stock Sale / Asset Sale, Allocation of Sales Price etc. Deal structure changes the taxes and the debt service of the transaction. In most cases, "all cash" value is going to be lower than the one with Seller Financing due to higher cost of capital associated with equity.

- **Exit Strategy-** Value of the business depends on the exit strategy of the Buyer. A component of the cash flow to the Buyer is the amount that would be realized at the end of the planning horizon as if the business were sold at that time. Therefore, the value of the business today depends on the value of the business at the end of the planning horizon.

Above discussion on difference in asset value and enterprise value can be summed in the graph below.



These challenges faced by any business can be captured as Obsolescence, which is defined as per IVS - 2017 as:

"A factor included in depreciation to cover decline in value of assets due to invention of new and better process or machines, changes in demand, in design or on the art and other technical or legal changes, but not to cover physical deprecation."

Obsolescence may be temporary or permanent in nature. Temporary obsolescence as name suggests are curable in nature, either with time or by investment whereas permanent obsolescence are un-curable.

Broadly obsolescence is defined in three categories as Technical Obsolescence, Functional Obsolescence and Economic Obsolescence.

- **Economic Obsolescence: -** As per IVS 2017, any loss of utility caused by economic or location factors external to the asset. It may arise when external factors affect an individual asset or all the assets employed in a business. This is due to factors external to the plant and machinery itself and out of control for the company. This could be due to change in demand of the product manufactured or shrinkage in supply of raw materials and labour, legalisation affecting taxes or duties, environmental or zoning control. Economic Obsolescence can be of two types:

Permanent: Permanent Economic Obsolescence is the one in which there are barriers on the demand and supply of the product on a national/global level. This type of obsolescence cannot be cured with time. It occurs when substitute of the product is available in the market. For instance, CD/DVDs/Blue rays are not prevalent in the market anymore because substitutes for such technologies are available in the market.

Temporary: This type of obsolescence is seasonal in nature and can be cured with time. For instance, the efficiency of the hydropower plant increases in rainy season when the supply of water is in abundance whereas the capacity utilization declines when there is water shortage.

- **Technical Obsolescence: -** Though not defined in IVS; It is due to change in design and material of construction of the plant and machinery under consideration. Latest sophisticated equipments with reduced occupancy, improved efficiency or optimum energy consumption are common in industries. It may arise out of development of new technology which brings changes in rate of production or reduction in operating cost. This effect the competitive edge of the business in open market. Similar to economic obsolescence, technical obsolescence can be classified as permanent or temporary in nature.
- **Functional Obsolescence: -** As per IVS 2017, Any loss of utility resulting from inefficiencies in the subject asset compared to its replacement such as its design, specification or technology being outdated.

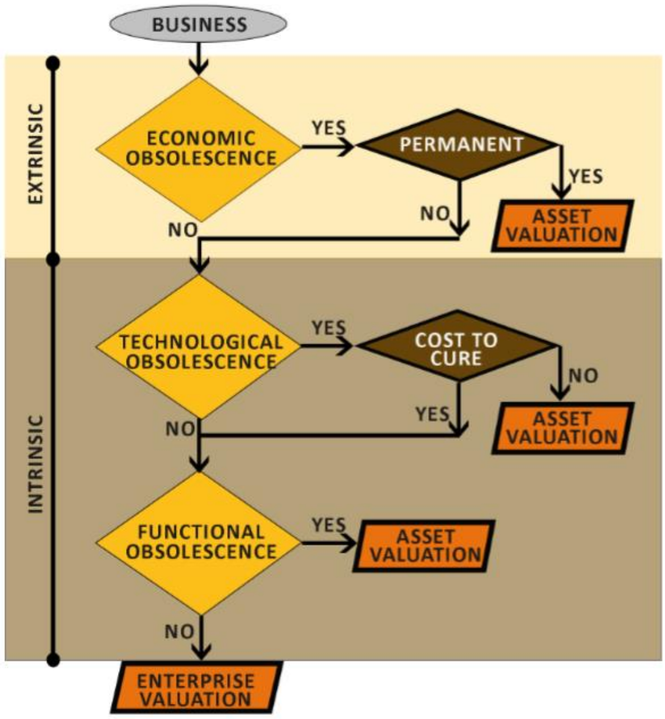
  Functional obsolescence arises when a machine already in function loses its optimum capacity owning to a decline in co-operation from its operating counterparts. It may arise due to variety of internal reasons. The company may have been compelled to commission a machine of high-rated capacity simply because a low rated one is not available and the operating counterparts, whether it is labour or capital, are not geared to give the highly rated machine the opportunity for optimum output.

Flowchart

The businesses need to be examined under the following flowchart to test for type of obsolescence that the enterprise suffer:

Based upon the type of obsolescence suffered by the business, the algorithm flow chart above can reasonably ascertain the need for EV value.

It is clearly understood from the graph above that if business does not suffer from any obsolescence, then there is a necessity of EV value. However, if at any step the business suffers from incurable obsolescence then Asset Valuation is sufficient enough to take decision.



1. **CD/DVD Manufacturing Industry**

Particulars	Details
Industry	CD/ DVD Manufacturing
Commodity	Technology driven Consumer Goods
Capacity Utilization (%)	10%
Debt	Rs. 3,000 Cr.
Turnover (FY 2017-18)	Rs. 40 Cr.
EBIDTA	Rs. 0.30 Cr.
Reasons for decrease in capacity utilization	Market Demand
Liquidation Value	Rs. 350 Cr.
Enterprise Value	Rs. 100 Cr.

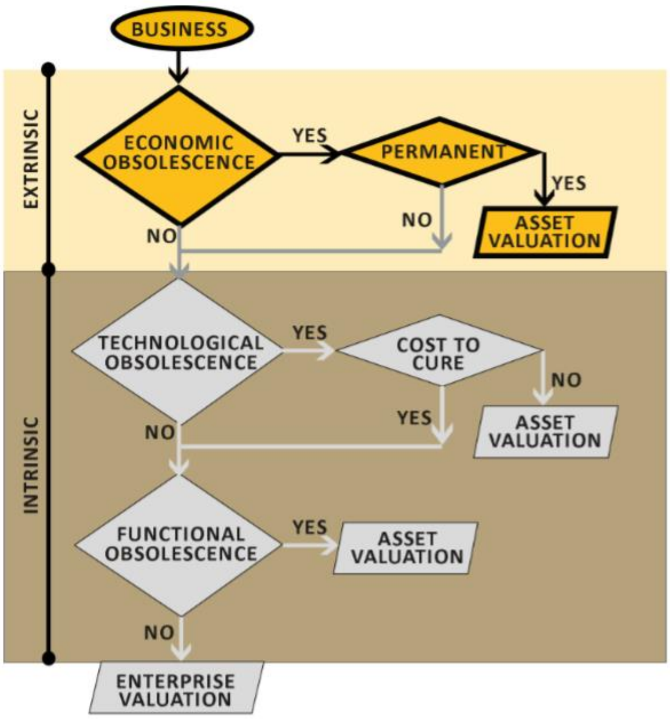
Brief about the Case:

The subject industry is a CD/DVD manufacturing facility running at very low capacity utilization of just 10%. The debt taken by the company is around Rs. 3,000 Cr. It manufactures a product which is technology driven. These goods generally transform every few years in the market. As per the valuation exercise conducted, the liquidation value of the company is around Rs. 350 Cr. whereas the enterprise value of the company is close to Rs. 100 Cr.

Conclusion:

Though the facility is state of art built and huge in size as well as production capacity, but the change in market demands, which is a parameter of Economic Obsolescence, led to its downfall. This Economic Obsolescence is permanent in nature as there are substitutes available in the open market. The product manufactured by the company is easily replaceable by Pen Drives, High Speed Internet Connections, Payment Gateways for Downloads, etc.

Therefore, moving as per the flowchart, it can be said that as the Economic Obsolescence is permanent in nature hence, only Asset Valuation of the company is required by to ascertained.



2. Edible Oil Industry

Particulars	Details
Industry	Edible Oil
Commodity	Essential
Capacity Utilization (%)	50%
Debt	Rs. 8,000 Cr.
Turnover (FY 2017-18)	Rs. 9,000 Cr.
EBIDTA	Rs. 1,500 Cr.
Reasons for decrease in capacity utilization	Working Capital
Liquidation Value	Rs. 1,500 Cr.
Enterprise Value	Rs. 4,000 Cr.

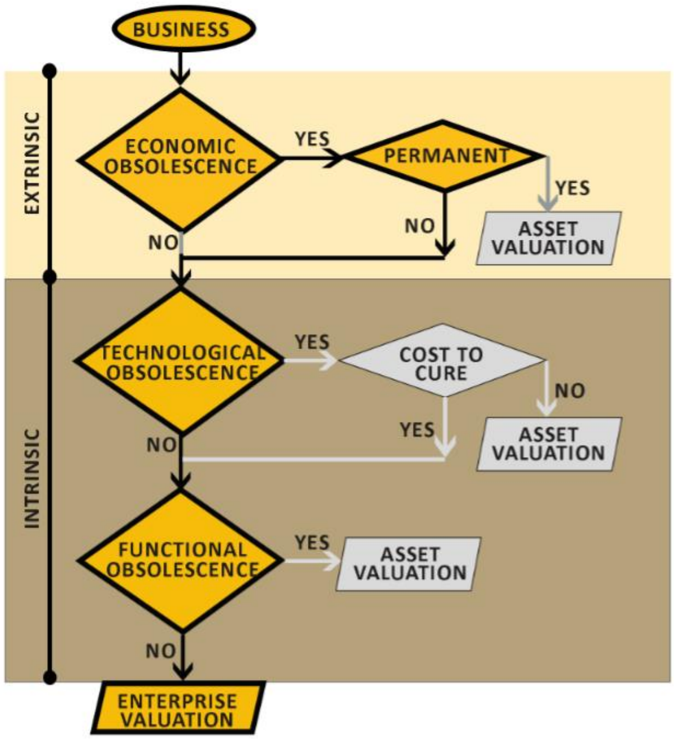
Brief about the Case:

The subject industry is an Edible Oil production facility spread across PAN India running at low capacity utilization of around 50%. The accumulated debt of the company is around Rs. 8,000 Cr. It manufactures an essential commodity; demand of which is not expected to decelerate. As per the valuation exercise conducted, the liquidation value of the company is around Rs. 1,500 Cr. whereas the Enterprise value of the company is approximately Rs. 4,000 Cr.

Conclusion:

The cause of less capacity utilization is that the plants of the company located across India are facing raw material shortage, which is a parameter of Economic Obsolescence. However, this Economic Obsolescence is temporary in nature as the raw materials are not available due to working capital shortage. All the plants have updated machines and are running on the latest technologies available in the market. The spares of all the machines used in the plants are also easily available.

Therefore, moving as per the flowchart, it can be said that as the industry is not hit by Economic Obsolescence, Technological Obsolescence and Functional Obsolescence. Hence, the Enterprise Valuation of the company needs to be ascertained.



3. Power- Thermal (Coal)

Particulars	Details
Industry	Power-Thermal (Coal)
Commodity	Essential
Capacity Utilization (%)	55%
Debt	Rs. 5,500 Cr.
Turnover (FY 2017-18)	Rs. 1,500 Cr.
EBIDTA	Rs. 300 Cr.
Reasons for decrease in capacity utilization	Market Demand
Liquidation Value	Rs. 1,200 Cr.
Enterprise Value	Rs. 2,700 Cr.

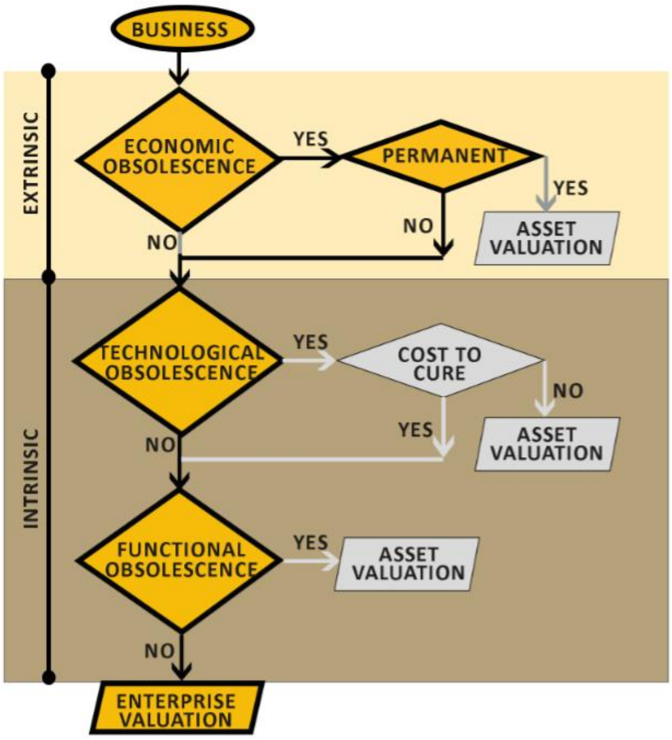
Brief about the Case:

The subject case is a Power Industry based on Thermal (coal) production. It is operating at a current capacity utilization of around 55%. The accumulated debt of the company is around Rs. 5,500 Cr. It manufactures power which is an essential commodity. The demand of power is never expected to slowdown. As per the valuation exercise conducted, the liquidation value of the company is close to Rs. 1,200 Cr. whereas the Enterprise value of the company is around Rs. 2,700 Cr.

Conclusion:

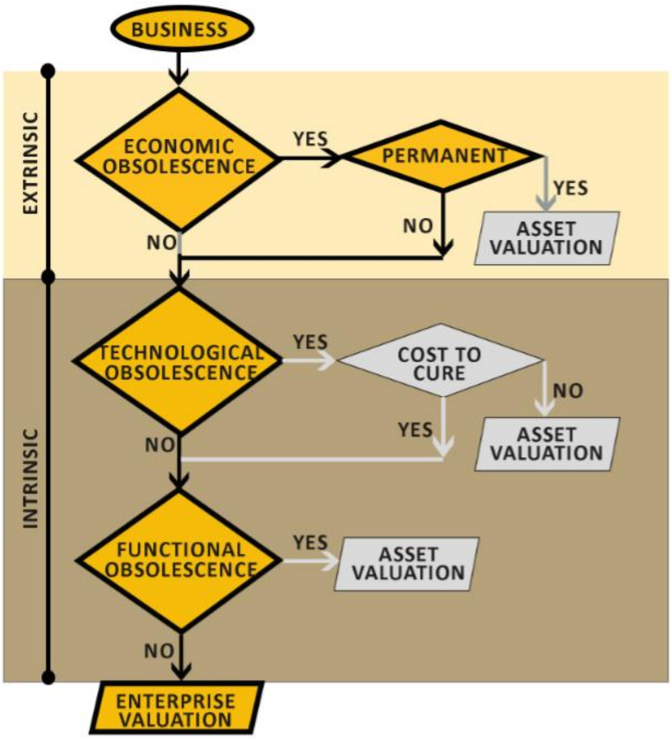
The cause of less capacity utilization is that the plant is facing order shortage as the company has not signed requisite amount of PPAs required to boost the efficiency of the plant. The OEM charges of the company are so elevated that the PPAs available in the market at competitive prices do not match with the financial feasibility of the company. The lack of order is a parameter of Economic Obsolescence. However, this Economic Obsolescence is temporary in nature as the PPAs are not available due to prevailing competitive price due to availability of substitute forms of power production. All the plants have updated machines and running on the latest technologies available in the market. Also, the spares of all the machines used in the plants are also easily available.

Therefore, moving as per the flowchart, it can be said that as the industry is not hit by Economic Obsolescence, Technological Obsolescence or Functional Obsolescence. Hence, the Enterprise Valuation of the company needs to be ascertained.



4. Hospitality

Particulars	Details
Industry	Hospitality
Occupancy (%)	40%
Debt	Rs. 900 Cr.
Turnover (FY 2017-18)	Rs. 83.0 Cr.
EBIDTA (FY 2017-18)	Rs. (19.24) Cr.
Reasons for decrease in occupancy	Location Disadvantage
Asset Valuation	Rs. 1,200 Cr.
Enterprise Valuation	Rs. 450 Cr.



Brief about the Case:

The subject industry is a Hospitality industry running at low occupancy of only 40%. The debt taken by the company is around Rs. 900 Cr. It is a service based industry. As per the valuation exercise conducted, the Asset valuation of the company is around Rs. 1,200 Cr. whereas the Enterprise value of the company is close to Rs. 450 Cr.

Conclusion:

Though the subject hotel is premium in nature, very well built and suits the upper strata of the customers, but the location of the property adds disadvantages to it. The poor location of the property is a parameter of Economical as well as Functional Obsolescence. However, both of them are temporary in nature as there are methods available to improve the business overall. Thus, for a better picture and more clarity on the case, Enterprise Valuation is necessary.

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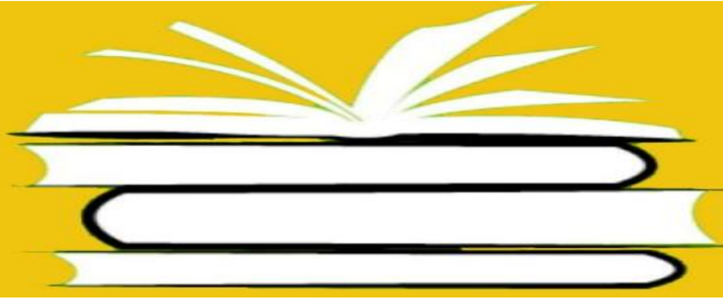

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